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Zoetis, Inc. (ZTS)

Q2 2021 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Welcome to the Second Quarter 2021 Financial Results Conference Call and Webcast for Zoetis. Hosting the call today is Steve Frank, Vice President of Investor Relations for Zoetis. The presentation materials and additional financial tables are currently posted on the Investor Relations section of zoetis.com.

The presentation slides can be managed by you, the viewer, and will not be forwarded automatically. In addition, a replay of this call will be made available approximately two hours after the conclusion of the call via dial-in or on the Investor Relations section of zoetis.com.

At this time, all participants have been placed in a listen-only mode, and the floor will be opened for your questions following the presentation. [Operator Instructions]

It is now my pleasure to turn the floor over to Steve Frank. Steve, you may begin.

Steven Frank

Vice President-Investor Relations, Zoetis, Inc.

Thank you. Good morning, everyone, and welcome to the Zoetis second quarter 2021 earnings call. I am joined today by Kristin Peck, our Chief Executive Officer; and by Wetteny Joseph, our Chief Financial Officer.

Before we begin, I'll remind you that the slides presented on this call are available on the Investor Relations section of our website and that our remarks today will include forward-looking statements and that actual results could differ materially from those projections. For a list and description of certain factors that could cause results to differ, I refer you to the forward-looking statements in today's press release and our SEC filings including, but not limited to, our Annual Report on Form 10-K and our reports on Form 10-Q.

Our remarks today will also include references to certain financial measures which were not prepared in accordance with Generally Accepted Accounting Principles, or US GAAP. A reconciliation of these non-GAAP financial measures to the most directly comparable US GAAP measures is included in the financial tables that accompany our earnings press release and in the company's 8-K filing dated today, Thursday, August 5, 2021. We also cite operational results which exclude the impact of foreign exchange.

With that, I will turn the call over to Kristin.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Steve, and good morning, everyone. I hope you and your loved ones are all staying healthy and getting vaccinated for COVID-19.

I'd like to start the call by welcoming our new Chief Financial Officer, Wetteny Joseph, who is joining me on the call today. As the former CFO of Catalent, Wetteny is a veteran of the biopharma industry and very familiar with many of you in the investment community. Wetteny joined us on June 1 and is off to a fast start, learning all about the company and animal health, everything from cattle runs and drought impact to pet care trends and parasiticide season. I am confident that Wetteny will make strong contribution to our ongoing market performance, value creation, and leadership in animal health.

I also want to take a moment to thank Glenn David for his partnership and all of his contributions to Zoetis as CFO over the last five years. Glenn has taken on a new role, overseeing our international operations and other business units including PHARMAQ, BioDevices, and Pumpkin Pet Insurance. I know he will bring his signature leadership qualities, business skills, and industry knowledge to this role and continue driving profitable growth in these areas.

Now turning to the second quarter, we achieved strong results once again with 22% operational growth in revenue and 28% operational growth in adjusted net income. Our companion animal portfolio generated 36% operational revenue growth driven by our pet care parasiticides, key dermatology products, vaccines, and diagnostics.

Meanwhile, livestock product sales were up 3% operationally and remain in line with our expectations for more moderate growth this year. The second quarter results also reflected favorable comparisons to last year's second quarter when the uncertainty of COVID-19 and related lockdowns were most severely felt across the animal health industry.

We are raising full year guidance for revenue and adjusted net income again this quarter to reflect our first half performance and confidence in the underlying growth drivers of our business. We remain on track for a very strong year and continue to focus on sustaining our investments in long-term growth opportunities.

With the strong cash flow and positive outlook, we are investing internally and externally in innovative new products, market expansion plans, and direct-to-consumer promotions that will support future growth. Our team has been delivering strong growth based on internally-developed companion animal parasiticides led by our Simparica, ProHeart and Revolution Plus franchises.

We have redefined care for the dermatology category with our development of Apoquel and Cytoint, and we see more growth potential coming from our monoclonal antibodies for osteoarthritis pain, new vector vaccines for poultry, and the industry's first cloud-based diagnostic platform with AI capabilities.

In terms of our monoclonal antibodies for alleviation of OA pain in dogs and cats, we continue to anticipate US approval for Librela and Solensia in 2022. Meanwhile, initial customer response from vets and pet owners in Europe has been excellent, and we recently received approval of Solensia in Canada. I always say with great pride that we have the best field force in the animal health industry, and we will continue to expand their scope, effectiveness, and digital tools in ways that can enhance our customer's experience and support our growth objectives.

We've also seen a positive return on our investment in direct-to-consumer promotions for Simparica, Apoquel, and disease awareness over the years, and DTC remains an area of ongoing investment to support our parasiticides and dermatology portfolios.

And finally, we continue to look externally for business development opportunities that can complement our portfolio and expand our market presence or capabilities.

Yesterday, we announced plans to acquire Jurox, a privately-held animal health company based in Australia. Expected to close in the first half of 2022, the acquisition will provide us with growth opportunities, manufacturing capacity, and increased capabilities in Australia, our fifth largest market, and also bring us a range of companion animal and livestock products primed for global expansion.

As I wrap up my remarks, our growth story for this year remains very consistent based on three recurring catalysts. First, our companion animal portfolio driven by our triple combination Simparica Trio and other parasiticides, our dermatology treatments Apoquel and Cytopoint, new monoclonal antibodies for pain, and our Vetscan diagnostic systems. The entire portfolio is benefiting from strong pet care trends in terms of increasing clinic visits, rising spend per visit, and a focus on diagnostics and specialty care, especially among newer and younger generations of pet owners.

Recent estimates for market growth in companion animal products are in the high single-digits, and Zoetis continues to expect to grow faster than the market. We're gaining share in the approximately \$5 billion global parasiticide market for pets, and we are excited by veterinarian and pet owner responses to our new monoclonal antibodies for pain.

We also continue to see progress in the early launch of Vetscan Imagyst, which leads to our second catalyst for growth, diagnostics, which posted 38% operational revenue growth in the second quarter as access to vet clinics in the US rebounded from the year-ago quarter.

Our third growth catalyst is international, where we continue to generate strong operational growth driven by China and Brazil, which grew at 30% and 40%, respectively.

All our catalysts for growth are buoyed by our priority to champion a healthier and more sustainable future through commitments to our communities, animals and the planet. You can read more about our progress on these ESG goals in our first Sustainability Report which was published in June.

In closing, we had a great second quarter and we're focused on delivering a record-setting year. The market dynamics in animal health remain strong, steady, and resilient, even during the challenging times, based on people's unbreakable bond with animals. For the remainder of the year, our diverse portfolio, innovative pet care products, strength in diagnostics, and the expansion in international markets will continue driving our performance.

Now, let me hand things off to Wetteny.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Thank you, Kristin, and good morning, everyone. Before I discuss our second quarter performance, I would like to take a moment to express how excited I am to join Zoetis, a company with an exceptional opportunity for meaningful long-term growth driven by the durability and resiliency of the existing portfolio, a robust product pipeline, and a keen focus on future innovation. I look forward to leading an outstanding financial organization and maintaining the financial principles and investment strategies which positions Zoetis as the world leader in animal health.

I would also like to express my appreciation to the Zoetis colleagues and the investment community for such a warm and gracious welcome. I had the pleasure of speaking with several of our investors since becoming CFO, and I look forward to connecting with many more in the coming weeks.

Now shifting focus to earnings. This morning, I will provide commentary on our second quarter financial results, the key contributing factors to our performance, and an update on our improved full year 2021 guidance.

In the second quarter, we generated revenue of \$1.9 billion, growing 26% on a reported basis and 22% operationally. Adjusted net income of \$566 million was an increase of 33% on a reported basis and 28% operationally.

Operational revenue grew 22%, with 2% from price and 20% from volume. Volume growth includes 12% from other in-line products, 6% from new products, and 2% from key dermatology products.

We delivered another strong quarter and remain encouraged by the performance of our business, health of the overall industry and our outlook for the future. It is worth noting that Q2 2020 is a favorable comparative period due to the impact of COVID-19. The pandemic caused widespread uncertainty last year which led to clinic closures, supply chain disruptions, and shifts in consumer demand from restaurants and foodservice to grocery stores. This materially impacted several aspects of our companion animal and livestock businesses.

Now let's dive further into the details of the quarter. Companion animal products led the way in terms of species growth growing 36% operationally, with livestock growing 3% operationally in the quarter. Performance in companion animal was again driven by our parasiticide portfolio led by sales of Simparica Trio and with significant contributions from the broader portfolio. We also continue to see growth in our key dermatology products, Apoquel and Cytopoint, as well as in vaccines and diagnostics.

Simparica Trio had continued to perform exceptionally well, posting revenue of \$139 million, representing growth of more than 200% versus the comparable 2020 period. In addition to sales, we are exceeding our other performance measures as well such as clinic penetration, share within penetrated clinics, and reordering rates.

The strength of our entire companion animal parasiticide portfolio was evident again this quarter, growing 50% operationally, with meaningful growth in the ProHeart and Revolution/Stronghold franchises in addition to the Simparica franchise. Having the broadest and most innovative portfolio within a large and expanding therapeutic area leaves us bullish on future growth in parasiticides.

Global sales of our key dermatology portfolio was \$280 million in the quarter, growing 22% operationally. Cytopoint had a particularly strong quarter, growing 42% operationally and generating quarterly revenue of \$100 million for the first time since launch. Year-to-date sales for key dermatology products are \$524 million, and our view remains unchanged that sales will exceed \$1 billion this year.

Our diagnostics portfolio had operational growth of 38% in Q2, led by increases in consumable and instrument revenue as the business continued to recover from the impacts of the pandemic. With our sustained investments in diagnostics, the new technology we are bringing to the market, and the ability to leverage the breadth of our medicines and vaccines portfolio, we are well positioned to grow faster than the diagnostics market, which is expected to grow double-digits, and outpace the overall animal health market.

Livestock growth in the quarter was primarily driven by our cattle and swine businesses. Cattle grew 3% and swine grew 6% operationally, despite price reductions as part of our generic defense strategy and higher input costs weighing on producer profitability in the US. Data suggests the foodservice and restaurant industries continued to recover in the second quarter, which is a crucial dynamic for demand of our premium products.

Poultry was the only species to decline in the quarter, which fell 4% as producers in the US expanded their use of lower cost alternatives to our products. The decline in poultry partially offset the growth in cattle, swine, and fish products.

Now let's discuss the revenue growth by segment for the quarter. US revenue grew 22% with sales of companion animal products growing 34% and livestock product sales declining 8%. US quarterly revenue exceeded \$1 billion for the first time in company history.

For companion animal, pet ownership and pet spending trends remained robust. Vet clinic revenue increased double-digits in the quarter and patient visits and spend per visit were up as well. While we expect some of the trends to moderate, our view is they will remain above pre-COVID-19 levels. In addition, a meaningful portion of pet acquisitions which occurred during the pandemic were by millennials and Gen Z. This infuses a solid foundation of younger pet ownership who are willing to spend disproportionately more on all aspects of pet care than prior generations and will be a key growth driver for companion animal medicines, vaccines, and diagnostics moving forward.

Our companion animal parasiticide portfolio was the largest contributor to companion animal growth in the US, growing 59% in the quarter. Key dermatology products, vaccines, and diagnostics also contributed to growth. Simparica Trio had an incredibly strong quarter in the US with sales of \$120 million, generating the highest revenue by a single product in the US for Q2. The Simparica franchise generated sales of \$153 million, growing 96% and remained the number-two brand in the US flea, tick and heartworm market.

Key dermatology sales were \$197 million for the quarter, growing 23%, with significant growth for Apoquel and Cytopoint. Diagnostic sales increased 22% in the quarter with growth in instruments, rapid tests, point of care consumables, and reference lab revenue.

US livestock sales fell 8% in the quarter driven by declines in cattle, and poultry, with swine essentially flat for the quarter. Q2 cattle sales were negatively impacted by promotional program in the first quarter of this year which pulled forward a portion of second quarter sales. In addition, price reductions as a part of our generic defense strategy and higher input costs weighing on beef and dairy end markets presented challenges to our cattle business this quarter.

Poultry declined in the quarter as producers expanded use of lower cost alternatives to our premium products as a result of higher feed costs and labor wages and smaller flock sizes reducing disease pressure. We also faced generic competition for Zoamix, our alternative to antibiotics in medicated feed additives.

To summarize, our US operations delivered another strong quarter led by our innovative and robust companion animal portfolio. The end market dynamics for companion animal remain extremely healthy, with pet ownership and pet spending trends driving an environment conducive to sustainable future growth, which is expected to more than offset the near-term weaknesses in our US livestock business.

Now turning to our international segment. Revenue in our international segment also grew 22% operationally in the quarter, with companion animal revenue growing 41% and livestock revenue growing 10% operationally. The trends fueling strength in our international companion animal business are very similar to those in the US.

The increasing medicalization rates and standard of care by pet owners coupled with significant investments in advertising and promotion to support new product launches in key brands drove growth across our parasiticides, vaccines, diagnostics, and key dermatology portfolios.

Diagnostics grew 106% operationally in the quarter with consumables and instrument revenue each exceeding 100% operational growth. Librela, our monoclonal antibody for alleviation of OA pain in dogs, launched in the EU in the second quarter. Feedback from the early France trial in Q1 was encouraging and second quarter sales

exceeded our expectations, further supporting our optimism on the long-term blockbuster potential of the product as well as monoclonal antibodies as a platform for future growth.

Our Feline monoclonal antibody for alleviation of OA pain, Solensia, began early experience programs in the second quarter with an EU launch following in Q3. As previously mentioned, OA pain in cats is a significant unmet need in animal health, and we're excited to provide pet owners with a novel product in a space that has previously lacked innovation.

Meanwhile, our international livestock business had its second consecutive quarter with growth across all species, led by strong operational growth in cattle and swine. Cattle growth in the quarter was driven by marketing campaigns, key account penetration, and favorable export market conditions in Brazil and several other emerging markets.

Revenue growth in swine is largely attributed to China which grew 38% operationally. The theme for growth in swine remain consistent with previous quarters as large key accounts increased their use of our vaccines and other products as they continue to expand production as the market shifts from smaller farms to larger scale, modern operations.

Our fish portfolio continues to perform very well, growing 25% operationally. Growth was driven by strong performance of Alpha Flux in Chile, vaccine volume in Norway, and the 2020 acquisition of Fish Vet Group.

From a market perspective lens, all major markets grew double-digits in the second quarter with the exception of Japan which declined slightly in Q2. China and Brazil had strong quarters, growing 30% and 40%, respectively on an operational basis. Growth in companion animal across emerging markets remains a key driver of our international business and in addition to the growth in China and Brazil, our other emerging markets companion animal business grew 68% operationally.

Overall, our international segment delivered strong results, demonstrating the importance of our diversity across species and geography. The livestock business continues to perform well and increasing pet acquisitions and pet care spending are extremely encouraging trends for long-term growth in companion animal.

Now moving on to the rest of the P&L, adjusted gross margins of 71% is essentially flat on a reported basis compared to the prior year as favorable product mix and price were offset by higher manufacturing costs and freight.

Adjusted operating expenses increased 23% operationally resulting from increased compensation related costs, advertising and promotion expense, and freight.

The adjusted effective tax rate for the quarter was 20%, a decrease of 230 basis points driven by the favorable impact of jurisdictional mix of earnings, lower GILTI tax, and an increase in favorable discrete items compared to the prior year's comparable quarter. Adjusted net income and adjusted diluted EPS grew 28% operationally for the quarter primarily driven by revenue growth.

We remain in a very strong liquidity position and continued our share buyback program, repurchasing approximately \$165 million worth of shares in the quarter. The strength of our balance sheet and substantial free cash flow generation allows us to make significant investments for future growth while still returning excess cash to shareholders.

Before I review our updated guidance, I would like to reiterate a point that has been discussed on prior earnings calls, which is that we expect growth to moderate in the second half of the year as a result of varying comparative periods where pent-up demand created by COVID-19 in the first half of 2020 worked its way through the system in the second half of the year in addition to the expected increased generic competition for DRAXXIN. Adjusting for the variability in the comparative period due to the pandemic, our phasing of top line growth would be more normalized and consistent quarter-to-quarter throughout this year.

Now moving on to our updated guidance for 2021, which we are raising and narrowing as a result of our second quarter performance, strength of our product portfolio, and favorable market dynamics which we expect to continue in the second half.

Please note that our guidance reflects foreign exchange rates as of mid-July.

For revenue, we are raising and narrowing our guidance range with projected revenue now between \$7.625 billion and \$7.7 billion, and operational revenue growth between 12.5% and 13.5% for the full year, versus the 10.5% to 12% in our May guidance.

Adjusted SG&A expense for the year are expected to be between \$1.87 billion and \$1.91 billion versus \$1.82 billion and \$1.87 billion in our prior guidance. The increased spend represents additional advertising and promotion investments, a significant portion of which will occur in the third quarter, as well as compensation related cost due to company performance.

Adjusted net income is now expected to be in the range of \$2.135 billion and \$2.175 billion, representing operational growth of 13% to 15% compared to our prior guidance of 12% to 14%.

Adjusted diluted EPS is now expected to be in the range of \$4.47 to \$4.55, and reported diluted EPS to be in the range of \$4.09 to \$4.19.

Now to summarize before we move on to Q&A, our strong performance in the first half of 2021 continues to underscore the value of our diversity, innovation, and durable business model. We again raised and narrowed our full year 2021 guidance and expect to grow faster than the market. We continue to focus on long-term sustainable growth by investing in our pipeline including infrastructure to support current and future product launches, and remain very positive in our outlook for sustainable growth beyond this year.

Now I'll hand things over to the operator to open the line for your questions. Operator?

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] And we will take our first question from Michael Ryskin with Bank of America.

Michael Ryskin

Analyst, BofA Securities, Inc.

Q

Thanks for taking the question, as always, and congrats on another strong quarter. I want to start with Simparica Trio, just a really breakout quarter with \$139 million. I mean by our projections, something in the \$450 million to \$500 million range isn't out of the picture for the rest of the year. So I just want to get a better sense of where you're seeing an incremental growth coming from. I mean, we did note a little bit of a tick-down in regular Simparica in the US year-over-year. So just wondering if you could comment a little bit again on cannibalization just sort of your expectation as you move forward.

And then my second question would be on the operating leverage. So I know we talked about in the past but definitely saw a notable step-up sequentially in SG&A coming in somewhat above my estimates. You mentioned a lot of advertising spend, a lot of compensation related expenses.

Could you just give us a sense of how much this is expected to persist going forward? It sounds like it's just going to play a bigger role in the operating leverage in the second half of the year and given some of the comps, I want to get a better sense of what goes into that \$490 million and sort of how to think about that.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Great. Thanks, Mike. I'll take the first question, then I'll let Wetteny take the second question on the leverage. Simparica and Simparica Trio did have a phenomenal quarter. Overall, as Wetteny mentioned, we had 50% growth in parasiticides. But as you look at the quarter for Trio with \$139 million, it was incredibly strong. And I would say Trio is and has been outpacing our expectations.

In fact, the Simparica franchise in Q2 was the second largest in the flea, tick, heartworm space, so we're very excited. We expect to continue to see this product grow. The market itself as you know has now grown to over \$5 billion. So we remain super excited. We're doing well both on our penetration of clinics as well as reorders. So we see strong momentum that we think will continue into the second half of the year.

So I'll let Wetteny take your second question.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

Yeah, in terms of SG&A, indeed, the step-up that you see in terms of our trend there is really largely driven by R&D investments as well as advertising and promotion behind our strong brands given momentum that we have in the market and the strong market conditions that we're in.

We're really putting advertising behind our key brands. You mentioned Simparica as a franchise, both Trio, particularly in the US and other markets, but also Simparica continues to grow internationally for us, and we want to take advantage of the momentum that we have in this very large market, \$5 billion-plus. And so we'll continue

to do that as we enter into the back half of the year, particularly in Q3 as we said in the prepared commentary. But it's really largely what's driving it.

In terms of compensation related cost, this is really more variable compensation areas that are really in line with the performance of the company there as well.

Operator: And we will take our next question from Jon Block with Stifel.

Jonathan D. Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Great. Thanks, guys. Good morning. Kristin, maybe I'll start on monoclonals. And I know it's early, but how are you seeing Librela being used in these international practices? In other words, is it market expansion? Is it taking share from other solutions or cannibalization of Rimadyl? Any color you have there would be helpful.

And then just to shift gears on livestock, it's always choppy and can move around, but is there anything more structural going on in the US market in regard to generic competition? And maybe on that last point, how is DRAXXIN playing out? You mentioned it, it seems like maybe less impact to-date but is the overall year assumption still unchanged? Thanks, guys.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure, thanks, Jon. Good to hear from you. I'll take the first question, and I'll let Wetteny take the second question on livestock. We have been very excited at the uptick in Librela, at what we're seeing, and your question about how is it really being used. We've seen really strong efficacy of the product. The feedback we've gotten through early experience in our first quarter of sales is just really quick efficacy. So they're noticing differences pretty quick. It's improving quality of life, better sociability. So we really think, more and more, vets are looking at this as a first line therapy.

We do think that there are significant opportunities for Librela to grow the category. The dog category, as we've talked about before, currently is \$400 million. But we believe by bringing this type of innovation to the market [ph] so far even (29:33) globally, but bringing this type of innovation from the safety and efficacy profile, we think we have the ability to potentially double that market if you look at how many dogs there are, how many have OA and how many are treated. So we look at the opportunity to grow this market in a few ways. Certainly, as I talked about, getting more animals getting more days on treatment and better compliance, and then certainly with price as this product is priced at a premium to those that are already in the market.

So Wetteny, do you want to take the second question on livestock?

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

Yeah, sure. Look, in terms of livestock, we don't see a structural change here in terms of your question and the performance that we're seeing is right in line with our expectations. Livestock grew 3% on the quarter. And as we've said, livestock tends to grow somewhere around the 4% range in the past, but we expect to be in low single-digits this year.

And really the global growth in that area is driven by our international markets, particularly when you think about emerging markets like China and Brazil, et cetera. In the US, with the generic competition for DRAXXIN, we expected to see some headwind there and it's really playing out in line with our expectations.

One more point I'll make is, if you recall, in Q1 we did have some promotions again in line with our generic defense strategy that really accelerated some of our revenue into Q1 from Q2. So that's playing out a little bit in terms of what you're seeing in the livestock figures for the US, but we expect to see further declines in terms of livestock for the remainder of the year and all that's factored into the guidance that we raised today as well.

Operator: And we will take our next question from Louise Chen with Cantor.

Louise Chen

Analyst, Cantor Fitzgerald & Co.

Hi. Thanks for taking my question here. Just curious how durable you think this increase in vet visits plus the spend per pet will be over the longer term. Thank you.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Thanks, Louise. Great to hear from you. Yes, we're very confident in the durability of the companion animal trends that you've seen throughout 2020 and 2021. So as you look in the quarter, we saw overall clinic revenues up 14%, and that was equally split between the vet visits and spend per visit. And our confidence in the fact that these are durable trends really has to do with a few things. One, there are more pets. We've talked about that for a number of quarters. The other thing is it's an increase in the standard of care, the expectations of pet owners, greater use across the portfolio, greater use of diagnostics, more people home noticing more about their pets.

But the other really important trend that's going to continue to play out is who's adopting a lot more of these pets. And that's a lot of Millennials and Gen Z and they tend to spend more on their pets, they're very engaged in their care. So we see these as durable trends that will continue and will remain a big growth driver for the company over the coming years.

Operator: And we will take our next question from John Kreger with William Blair.

John Kreger

Analyst, William Blair & Co. LLC

Hi. Thanks very much. I have a gross margin question. I realize the monoclonals are sort of a new class for you guys. As Solensia and Librela ramp, do you expect the gross margin on those products to be better or worse than what you see across your traditional product portfolio?

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Yeah, John, look, we certainly given the safety and efficacy profile of these products, we expect them to be priced at a significant premium to existing therapies including on Rimadyl. So I would say it would be above sort of our average gross margin that you see across our portfolio.

John Kreger

Analyst, William Blair & Co. LLC

Great. Thanks, Wetteny.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Thanks, John.

A

Operator: And we will take our next question from Katie Tryhane with Credit Suisse.

Katie Tryhane

Analyst, Credit Suisse Securities (USA) LLC

Hi. Thanks for taking my question. You highlighted the strength in diagnostics. Can you just speak about some of the advantages and success that you've had with bundling strategies with therapeutics, and can you speak to what you're seeing in terms of competitive placements for instruments.

Q

You also called out the new Vetscan Imagyst platform. I mean how has that been performing today, and how do you expect that to contribute to growth in the business going forward? Thanks.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Thanks, Katie. As we look at diagnostics, it was a very strong quarter with 38% operational growth. Diagnostics as we talked about remains a very attractive segment with double-digit growth and it really is core to the way the vet practice operates.

A

Again, pets cannot tell you exactly how they're feeling, so we continue to see this being a really strong part of our continuum of care strategy. It's critical to the vet practice. We did incredibly strong growth as you saw in the quarter in International, making significant placements, very strong in the US and we're focused on a few things there.

Certainly it's placement as we talked about and we are seeing good growth there. Stronger in the quarter in International than the US. But also really driving consumable use and we think that remains a big opportunity for us versus competition. Getting more consumable use in the placements that we have.

And then really adding onto that, the innovation. So if you look at the Imagyst launch, it has done better than our expectations. We continue to see very strong growth there. Right now the indication for the Vetscan Imagyst is in fecal and that's a large market, it's about \$500 million growing at 7% to 8%, so we see really strong growth there.

I don't know, Wetteny, if there is anything you would add.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

No, you've covered it well.

A

Operator: And we will take our next question from David Westenberg with Guggenheim Securities.

David Westenberg

Analyst, Guggenheim Securities LLC

Q

Hi. Thank you for taking the question. I'm going to actually continue on that concept that was just asked with Katie. Can you help us conceptualize the size of the nontherapeutic revenue for Zoetis on a go forward basis and whether or not we should see it as a revenue contributor as maybe a means of driving therapeutic revenue, and I'm going across the categories with like diagnostics, insurance, Embrex, genomics, et cetera.

And then just a quick clarification question to the answer to Jon Block's question on the doubling of the pain market. Was that just in dogs and then cats is just a plus beyond that or was that \$800 million or the doubling of the \$400 million just dog and cat? Thank you.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

I'll start and see if Kristin wants to add anything. In terms of nontherapeutics, you look at diagnostics for example where we saw 38% growth this quarter, so roughly \$99 million of revenue on the quarter on the base of what we reported for the year. So in relative terms it's not the largest proportion of our revenue streams certainly, but we're very much excited about the potential for the future in a very fast-growing market, in terms of diagnostics, we expect to see growth faster than the overall animal health space for us.

And really one more point that I'd make is overall we expect diagnostics, as Kristin covered earlier, because of the impact to continuum of care we think overall increase in use of diagnostics as we look to medicalization rates across pets will have a positive effect on overall therapeutics in the long haul. We think that's also an exciting opportunity for the long-term.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure, and I can take your second question with regards to the cat market. Yes, we think that would be incremental. It is a little hard to size the cat market today. There's really not much of an OA pain market in the US. There is some international products that are approved but as we talked about doubling the dogs from \$400 million to \$800 million, if you recall, and yes, it's a little hard to size the cat market, maybe it's \$100 million, we think you can double that as well. So we think that could be a \$200 million market which would make the OA category for us across dogs and cats potentially a \$1 billion market that we can play in. So we think this is a very exciting space for us.

Operator: And we will take our next question from Balaji Prasad with Barclays. Your line is now open.

Balaji Prasad

Analyst, Barclays Capital, Inc.

Q

Hi. Good morning and thanks for the question. Just a couple for me. Firstly on the parasiticide market, do you have a sense of relative size of where NexGard and Bravecto were in the quarter and if Trio growth came in at the cost of competitors or some market expansion. On the same point, you recently got a label expansion for Simparica. Could you also just describe, take us through the implications for it commercially. And on the guidance side, could you also just take us through what led to a 1% revenue guide change and a 2% increase in SG&A and where those increased expenditure is going into. Thanks.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. Thanks. I'll take the first question and I will let Wetteny take the second one. I can't get into what our competitors' product sales are. We remain quite excited for what Simparica is doing. We did get the additional label claim. That was expected. That was included in the guidance that we had.

In the sense of where are we getting some of those sales from, it is an and, so we are both growing the market. I think more people are moving back into prescribed products versus some of the over-the-counter, but we're also seeing that we are taking share from many of our competitors as well, so it's an exciting opportunity across both dimensions.

Wetteny, do you want to take his other question.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

Yeah, look, one thing I would add in terms of parasiticides, it's a \$5 billion market that's growing around 5% and we're gaining share in this marketplace. We do think that with the triple combo it's improving compliance with respect to heartworm, et cetera, and so that will have the opportunity to continue to expand the market as well, so we're very pleased with the performance across our parasiticides portfolio and the share that we're gaining. We'll continue to invest behind this product and this portfolio as well.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Did you want to take the increasing guidance question.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

Yeah, look, certainly when you look at our guidance compared to where we started in the year and given the overall market, positive market dynamics that we see, our portfolio's performing very well. Kristin covered some of the change around vet visits and so on, all those are contributing towards optimism.

You've seen the year-to-date performance that we've delivered and in fact we've taken our guidance in terms of top line operational growth up from where we started the year at 9% to 11%. Now at 12.5% to 13.5%, so a full 3 points above where we started the year. So we're very pleased with how we started the year.

I think if you look at from an overall perspective, certainly the first half and the second half of the year, if you look at purely top line, it's really roughly in line pretty consistent sort of phasing across the year. The growth rates will moderate based on last year, largely, not really a matter of how this year is executing for us.

We're in a very positive market dynamic with very strong performance across our portfolio. Last year given the pandemic, there was a bit of variability across the year, there was disruption in the first half of the year given COVID-19 which created more demand that got pent up and caught up in the back half of the year, so that's going to create a dynamic in terms of what the [ph] V's (40:25) look like in terms of growth rates first half versus second half. We're very pleased with where we are and we're going to continue to invest behind our key portfolios and brands.

Operator: And we will take our next question from Chris Schott with JPMorgan.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Great. Thanks so much for the questions. I just wanted to focus a little bit more on US livestock. Can you just talk a little bit again about the 2Q dynamics, because it seems like you were going up against a fairly easy comp but this was still down around 8%. So I'm just trying to get a sense of like as we think about the rates of decline you're expecting in the business in the second half of the year, just help us conceptualize what type of erosion you're thinking about as we go up against what seems like some tougher comps for those quarters.

And then maybe just from a longer-term perspective, can you just walk a little bit through about how you're thinking about recovery for US livestock as we think about both poultry and cattle as we get past some of these more challenging near-term dynamics and just think about the long-term business. Thanks so much.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Thanks, Chris. I'll start on more of the strategic drivers and I'll let Wetteny get into some of the specifics here. Livestock really has performed as we expected. As we talked about going into the year with the LOE of DRAXXIN, we did expect a decline in general as we talked about for the last few years, that's generally 20% to 40% over two to three years, and as we said we thought that would be faster. As you look at the quarter, we did see a 19% decline overall in DRAXXIN specifically and I think that is one of the key factors in the US

And as Wetteny's mentioned earlier I think this will continue, but if you look at broader livestock, historically it's a low to mid-single digit grower. Certainly as you saw in 2019 with ASF in China and 2020 with COVID, it's been lower than what you've historically seen. We do believe, as we said, that overall, this will trend back to a market growth in the mid-single digit, call it, around the 4% [ph] reach (42:15) maybe 3% to 5%. And then we think Zoetis will be in line with that. It could be slightly lower over the next few years as you see this year. And really the strategic driver of that is that we have a number – we have the largest number of products hitting loss of exclusivity. As you look at our guidance, that's why it is baked in.

So it wasn't just DRAXXIN, we also had in poultry, as you were just referencing, had Zoamix and BMD as well. But again, we've got good growth in some of these other species as well, if you look at poultry we're really excited at the growth of vector vaccines, it's a \$300 million market, growing 13%. We've already launched two of them Newcastle and IBD, and that will be a growing portfolio for us.

But I'll let Wetteny get into some of the more specific numbers. But I do think as you look at livestock just more strategically on a higher level, I think it's going to be a lower grower than companion animal but we do think it goes back to historical levels. Wetteny, if you want to build on that.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

A

Yeah, look, I mean, if you look at livestock across the world, with protein consumption, population growth, income levels rising, et cetera, we expect those to continue to drive growth in livestock for the long term. We delivered 3% on the year. As we said, it's as expected and as was covered in the prior earnings call, we expected declines in the US, particularly, given the generic entry for DRAXXIN.

Now, the first quarter did benefit a bit from two things. One, there was a little bit of a delay in terms of the entry of generic for DRAXXIN but also we ran a promotion in the first quarter that accelerated some revenue into Q1, taking it out of Q2. So if you take those into consideration, which are exactly in line with our defense strategy,

livestock really is performing exactly as we expected. Now given that the intensification of generic competition, as we expected, just began really into the late first quarter, into the second quarter, we expect those declines to continue, and again they're right in line with our expectations here.

Operator: And we will take our next question from Steve Scala with Cowen.

Steve Scala

Analyst, Cowen and Company

Thank you. A local paper in Nebraska reported last week that Librela is being manufactured at the Lincoln plant. If that is correct, then is that product ultimately destined for the US? And as the US regulatory process evolves, can you confirm that it is still the case that no new clinical data is required? Thank you.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Sure. I mentioned earlier, we do believe we will see approval in the US for both Librela and Solensia in 2022, with Librela most likely in the second half. We have long-term strategies from obviously multiple sites. I don't think the US will be manufactured out of [ph] Librela (44:55) at launch. We certainly are looking at potentially adding sites just given the strength, as I mentioned earlier, of that product. So we have been having ongoing good conversations with regulatory authorities and remain on track with the guidance we previously provided, which is approval for both those products, with Solensia likely earlier in the year and Librela later. But you should not probably expect that we would be producing out of Lincoln, Nebraska at launch for Librela.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Look, given our global footprint and presence, you should not read anything into the location of manufacturing in terms of where products are destined to. In particular, we'll continue to leverage both our own footprint as well as third parties in our manufacturing and so I wouldn't draw any conclusion from that.

Operator: And we will take our next question from Elliot Wilbur with Raymond James.

Michael Parolari

Analyst, Raymond James & Associates, Inc.

Hi, guys. This is actually Michael Parolari filling in for Elliott. Thanks for taking my question. So I believe you said in the past that Trio has had about a 90% uptake on top corporate accounts. Just wondering if you could provide an update, though, on penetration across all targeted accounts.

And then in relation to the DTC campaign, I know you said in your prepared remarks that it remains beneficial. But just wondering if you could give an updated timeline on how long you could see it continuing, and then also how you see incremental spend really driving ROI here. Thank you.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Sure. Thanks, Michael. We continue to be very – we are at or surpassed all the clinic penetration that we expected for Trio. So we're quite pleased with that, and right now we're a little more focused on reorder rates as I mentioned. We think an important trend for us now as, I think, our penetration is where we would expect it and is

very broad across the US for Trio. And we're really focused on those reorders which we now have at 80% and continuing to grow those overall reorder rates.

Direct-to-consumer advertising is critical in this category. It is \$5 billion. It is a category that consumers really do go in and ask for brand. We do obviously track our ROI on this. And as you've seen, and as Wetteny mentioned earlier, we will continue to invest behind this brand. We have seen incredibly strong ROI in doing so. And that is why you are seeing us step up that spend. As we talked about earlier, it has outpaced our expectations. I think that has everything to do with the innovative nature of this product. But it also has to do with the investment we put behind that in direct-to-consumer advertising and investing with our field force and we will continue to do that, you should expect, this year and next year.

Certainly, we have a window of opportunity with no competition in the US and we will leverage that opportunity. We still don't know exactly when we'll see competition. At this point we don't expect any till the second half of 2022 at the earliest, as we mentioned. But as long as we do not have competition, we will invest aggressively behind this brand and even when we do, we will do it as well because we've seen very strong ROI in doing that.

Operator: And we will take our next question from Navann Ty with Citi.

Navann Ty

Analyst, Citigroup Global Markets Ltd.

Hi. Good morning. Could you comment on capital allocation? Should we expect a continuity of financial policy going forward and also following Jurox, should we expect further geographic expansion via bolt-on acquisition in addition to internal investments. Thank you.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Yeah, sure. So, in terms of capital allocation, you should expect consistency in terms of how we've managed capital allocation with the focus first and foremost on internal investments. We have opportunities in terms of R&D, investing behind our brands from an advertising and promotion perspective, CapEx to support our growing pipeline including monoclonal antibodies, et cetera. That's really our first priority. Of course we'll take advantage of any opportunities from a business development perspective for M&A that helps to accelerate our growth in various markets in areas as well.

So that really follows in terms of investments and then as we have free cash flow generation, very strong free cash flow generation, we'll look to return cash to our shareholders. We've increased our dividends as you've seen typically faster than our revenue and we reinitiated our share buyback program which we were continuing. So that remains consistent I would say with the past.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

And then on Jurox, do you want to just comment on the BD geographic expansion.

Wetteny Joseph

Executive Vice President and Chief Financial Officer, Zoetis, Inc.

Yeah. So look, certainly in Jurox, we're excited to be bringing them, once we get through the process here over the next six months and close the transaction we're excited to bring Jurox into the Zoetis family, Australia is our fifth largest market globally and this is really at our core. It does increase our presence in a therapeutic area with

a leading product as well. So we're very excited about that opportunity and what it does for us and we'll continue to look for bolt-on opportunities to bring on both the core as well as other areas of the business, whether it's diagnostics or what have you as well.

Operator: And this does conclude today's question-and-answer session. I will now turn the program back over to Kristin Peck for any additional or closing remarks.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Great. Thank you, everybody, for your questions today and for your continued interest in Zoetis. We look forward to keeping you updated on our business throughout the remainder of the year and continuing to deliver on our results and innovations that you and our customers expect. So thanks so much for joining us today. Stay safe.

Operator: This does conclude today's program. Thank you for your participation. You may disconnect at any time, and have a wonderful day.

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